

defined benefit (DB) or defined contribution (DC)?—most of them select the DC plan. Some of them justify their decision with some fairly persuasive arguments. They point out that they will likely be working for a number of different employers over the course of their life. Some of them will be spending time in different countries, or at least industries. Few, if any, believe (or even dream) they will be working for one company over the course of 30 years. They, therefore, need retirement savings with mobility and flexibility. Alas, a defined benefit plan with its rigid formulas based on years of service and final salary would make little sense to them. It is a relic from an industrial past. Indeed, this is likely why so many employees are content with 401(k) and IRA plans. The employer's only responsibility is to contribute 5% to 10% of their annual salary cost to this piggy bank, and the employee is responsible for everything else. They take the risk and get the reward.

The statistics I presented in the Introduction confirms this way of thinking. Many of the companies freezing or converting their defined benefit (DB) pensions and replacing them with defined contribution (DC) plans are doing so *partly as a result of the demand from employees*.

And yet, as the trends in aging, which I discussed in Chapter 7, “Longevity Is a Blessing and a Risk,” continue to develop over time, the topic of pension and retirement income will only grow in importance. Remember that retirees face a number of unique financial risks that are not (as) relevant earlier on in life. As I explained in Chapter 7, retirees face longevity risk, which is the uncertainty of their life horizon and its costs. Retirees face unique inflation risk, based on the data I presented in Chapter 5, “Personal Inflation and the Retirement Cost of Living.” Finally, they have to deal with a particular type of financial market risk, which has been dubbed the term *sequence of returns*. So, the risks are new and different, and you will need a different strategy.

As you can see from Table 11.1, approximately 80% of the income being received by individuals above the age of 85 is longevity-insured. The remaining 20% of their monthly income might be exhausted prior to the end of their life. For younger individuals the percent that is longevity insured is even lower.